Krishna Defence & Allied Industries Ltd

Concall-Tracker report | Ticker: KRISHNADEF (NSE) | Sector: Defence & naval steel products

Quarter: Q2 2027 · Newest call read: Q2 & H1 FY27, 30 Oct 2026 (transcript filed 3 Nov 2026) · Company holds about two calls a year · Figures in ₹ crore, standalone

> **Plain-word key: Bulb bars** = a special ship-building steel section, Krishna's main product. **Indigenisation** = making in India what the Navy used to import. **Order book** = orders won but not yet delivered. **Tender pipeline** = bids already submitted but not yet decided. **EBITDA margin** = operating profit as a share of sales. **AUV** = an unmanned underwater vehicle. **DPSU** = a government-owned defence company, here mostly shipyards.

1. Snapshot

What the business does: Krishna Defence is a small Gujarat-based engineering company that makes specialised steel products for Navy shipyards and the Army: bulb bars for warship hulls, special welding wire, armour-steel profiles for tanks, and a small dairy-equipment line left over from its past. It's one of only two approved bulb-bar suppliers to the Navy.

Q2 FY27 revenue	₹75 cr, up 56% on ₹48 cr - *its biggest quarter yet, after a weak June quarter (₹58 cr, down 15%).*
Q2 FY27 operating profit	₹20 cr, margin 26.9% (record), up from ~19% - *about ₹27 of every ₹100 of sales was operating profit, thanks to a richer product mix.*
Q2 FY27 net profit	₹15 cr, more than double ₹7 cr a year ago - *profit grew about twice as fast as sales.*
H1 FY27 (Apr-Sep)	Revenue ~₹133 cr, up ~15%; net profit ~₹27 cr vs ~₹16 cr - *the half grew far slower than the 30% management keeps guiding.*
FY26 revenue	₹245 cr, up 29% - *the base the 30% growth target is measured against.*
Order book (Oct 2026)	~₹109 cr vs ~₹110 cr in June and ₹103 cr in May - *steady, but still well under half a year of sales; most of it ships in Q3.*
Trade receivables	₹89 cr vs ₹35 cr in March - *money owed by customers jumped; management says sales bunched up in late Aug-Sep and payments arrive in 45-60 days.*
Valuation	Market cap ~₹1,800 cr, P/E ~37 - *priced for strong growth to continue.*

2. Concall coverage

Period	Date	Transcript read?
H2 FY22 → H1 FY26 (8 calls)	Jun 2022 → Nov 2025	Carried forward from Q4-2026 report
Q4 FY26 (prior boundary)	May 2026	Covered in Q4-2026 report
Q2 & H1 FY27 ★	30 Oct 2026	Newly deep-read in full

Ten calls over about four and a half years; only the newest was read in full this time. The company holds a half-year and a full-year call, so there was no June-quarter call to read.

Latest concall highlights - Q2 & H1 FY27 (30 Oct 2026)

- **Record margin.** EBITDA margin 26.9%, the highest ever, on more welding wire and Army products in the mix; MD says they'll "maintain around these level margins" *- well above the 18-20% he promised two years ago.*
- **Bigger bid pipeline.** ₹305 cr of tenders already bid (vs ₹221 cr in May), with a ~50% win rate and decisions in 3-6 months *- if half land, that's roughly ₹150 cr of new orders, more than the current book.*
- **Orders now come in smaller pieces.** Customers order "on demand" with shorter delivery, so the order book looks thin even as execution speeds up *- a fair point, but it also means less visibility.*
- **30% growth "on track".** But H1 grew ~15%, so H2 needs ~40%+; asked directly, the MD answered about profit as well as revenue *- the revenue target looks stretched.*
- **New ventures keep coming.** A Belgian MoU to make barriers in India for export, an ammunition-component MoU with a defence prime, a technology transfer from NIO Goa for underwater vehicles, and a new AUV company *- none of it adds revenue for 12-18 months.*

Business mix & capacity

Domestic vs export: essentially all domestic; exports (Belgian barriers, VABO doors) have "just started" and are too small to size. Defence is ~92-93% of sales, dairy ~7-8%. Within defence: bulb bars ~55-60%, armour steel ~15-20%, welding wire ~15-20%.
Capacity: current plants can support ₹400-450 cr of revenue with small upgrades *- well over this year's likely sales, so no new plant is needed for a couple of years.* Bulb bars ~4,000-4,500 tonnes a year; new 50,000 sq ft of land bought for other products.

Since our last report ★ (builds on the Q4-2026 report, call of May 2026)

Prior verdicts: **Trigger YES (with a caveat) · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	Real naval-steel franchise; thin order book	Record quarter and margin; commercial shipbuilding orders starting	**Confirmed**
Consistency	Delivers on margin, guidance ping-pongs, ventures multiply	Margin beat again; 30% revenue claim at odds with H1; more ventures added	**Unchanged**
Order book shrinking	₹282 cr peak → ₹103 cr	~₹109 cr, stable; bid pipeline up to ₹305 cr	**Stabilising**
₹221 cr pipeline converts in FY27	Pending	Pipeline grew rather than converted; wins expected in 3-6 months	**Slipping**
Composite doors JV (VABO)	Revenue pushed to FY27	Plant set up, approvals "final stages"; revenue maybe Q4 FY27, "slightly optimistic"	**On-track, late**
Naval-gun ammunition	Effectively dropped	Back as "smart ammunition", under development via TSPL	**Revived, unproven**

Verdict change: both unchanged. Q2 showed the core business at its best, and the order-book slide has stopped. But the half as a whole grew half as fast as guided, and the list of side projects got longer again.

3. Earning Trigger thesis

The trigger: naval steel India used to import, in a two-player market

Krishna makes bulb bars and related steel the Navy once imported. Only two firms are approved, approvals take years, and every warship needs bulb bars equal to roughly 10-15% of its weight. That franchise took sales up about fivefold in four years and margins from the mid-teens to the high twenties. Two new legs showed up this quarter: commercial shipbuilding, where Krishna says it's the only approved Indian bulb-bar source and imports aren't allowed for domestic ships, and a production-incentive (PLI) award that pays out from FY28. The weak spot is visibility: orders are smaller and shorter, so growth depends on a steady drip of new wins.

Driver	What management said	Evidence so far	Horizon	Strength	Change since last report
Naval steel (bulb bars etc.)	Ride the warship build-out; ~50% share of new programmes	Q2 sales +56%; new destroyer/corvette programmes cleared	Multi-year	**Strong**	unchanged
Margin mix	Hold ~25-27%	26.9% in Q2, record	Now	**Strong**	↑ improving
Commercial shipbuilding	Only approved Indian source; orders starting	Small orders being supplied	FY28+	**Moderate**	new this quarter
Composite doors (VABO JV)	Revenue maybe Q4 FY27	Plant set up, ₹5-6 cr invested, approvals pending	Q4 FY27 → FY28	**Unproven**	unchanged, still late
AUVs, smart ammunition, exports	"Fruits in a couple of years"	MoUs, ToTs and a new company; no revenue	2+ yrs	**Unproven**	more announced

4. Management Consistency scorecard

What was promised	When	What actually happened	Verdict
Margin toward 18-20%	FY24 → FY27	~22% in FY26, 26.9% in Q2 FY27	**Beat**
90%+ defence mix	FY23 → FY25	~92-93% defence	**Delivered**
Double capacity	Nov 2023	Live Apr 2025, ~6 months late; now supports ₹400 cr+	**Delivered (late)**
Revenue growth ~30%+	Every call	FY26 +29%; H1 FY27 ~+15%, "on track" per MD	**At risk**
₹221 cr pipeline to convert in FY27	May 2026	Order book flat; pipeline now ₹305 cr, still undecided	**Too early**
Composite doors revenue	Nov 2023	Three years on, first revenue hoped for Q4 FY27	**Slipped**
Naval-gun ammunition	2022-23	Dropped, now revived as a development project	**Reframed**

Narrative drift: same two-sided picture as last time. On the things that drive profit today, management keeps beating its word, and this quarter's margin is the proof. On the forecasts and side bets, it keeps sliding: a revenue target the first half doesn't support, doors still a quarter or two away after three years, and a fresh batch of MoUs announced while older ones haven't earned anything. The MD's tone was confident and a bit brushed off on tough questions ("how can I tell that"), but he didn't change the core story.

5. Bottom line

Durable earning trigger? → YES (vs last quarter: unchanged)

Q2 was the cleanest proof yet of the naval-steel franchise: record sales, record margin, profit more than doubled. The order-book slide that worried us in May has stopped, the bid pipeline is bigger, and commercial shipbuilding plus PLI add new legs for FY28. The caveat hasn't gone: with only a few months of orders in hand, every half-year depends on new tenders landing on time.

Management consistent? → MAYBE (vs last quarter: unchanged)

Margins and execution keep beating promises, which is what matters most for profit. But the 30% revenue line now needs a very strong second half, the composite-doors date keeps moving, and the company adds new ventures faster than old ones pay. Reliable on the core, loose on the forecasts around it.

Prepared from ten earnings calls (Jun 2022 to Oct 2026); only the Q2 & H1 FY27 call (30 Oct 2026) deep-read this quarter. Not investment advice.